HCLTech | Supercharging Progress™

EQUITY RESEARCH REPORT

HCL TECHNOLOGIES LTD

Navigating Future Growth In Future Technologies

IFSA
NIT Trichy

Equity Research Report

HCL Technologies Ltd.

Supercharging Progress

HCLTech

Recommendation	**XXXX**
CMP	**1,624**
TargetPrice	**XXXX**

Company Overview

Headquartered in Noida, India, HCL Technologies is a premier global technology company that combines decades of engineering expertise with modern digital agility. Since its founding in 1976, HCL has grown into a powerhouse with over 225,000 employees, focusing on "Supercharging Progress" for clients worldwide. The company distinguishes itself through its unique "Mode 1-2-3" strategy, which balances core IT services with high-growth digital platforms and products. This strategic mix allows HCL to offer holistic solutions in software, infrastructure, and engineering R&D, positioning it as a critical partner in the global digital economy.

HCL Software : modern software products in areas like automation, digital experience, and security.

IT and Business Services : digital consulting, cloud migration, and application modernization.

Engineering and R&D Services : core engineering services, software product engineering, and industrial design.

Key Highlights:

1.The company recorded strong growth in net profit, increasing by 10.8% YoY in FY25.

2.Net sales grew at a more modest rate of 6.5% YoY.

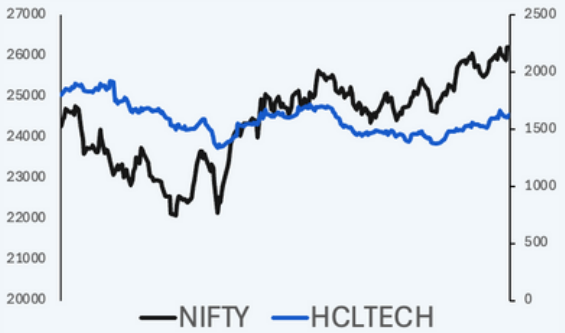
3.Profitability improved, with the Net Profit Margin rising to 14.9% in FY25.

4.The Operating Profit Margin saw a slight decline from 22.0% (FY24) to 21.8% (FY25), reflecting sustained investment or cost pressures.

Stock data (as on date)

NIFTY	
52 week H/L (INR)	2,012.20/1,302.75
Market Cap (INR Cr)	2,012.20
O/S shares (Cr)	271.37 Cr
Dividend Yield (%)	3.69%
NSE Code	HCLTECH

Relative Stock Performance - 1year



Shareholding Pattern

Promoters	*60.90%*
FIIs	*19.4%*
DIIs	*15.3%*
Retail	*4.4%*

Stock Performance %

	1M	6M	12M
Absolute	4.3%	- -2.2%	-12.8%

Financial Summary

In INR Crs	FY25A	FY26E	FY27E
Net Revenue(cr)	117,055	122908	1,32,126
YOY Growth %	6.5%	5.0%	7.5%
EBITDA	21,420	22,369	24,047
Margin %	**18.5 %**	**18.2%**	**18.2%**
PAT(cr)	19,577	20,280	21,801
YOY Growth %	**3.6**	**7.5**	**8.5**
ROE %	25%	27.95%	31.24%
EPS	72.24	74.83	80.44
EV/EBITDA (x)	14.6	14.1	13.1

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GLOBAL ECONOMY

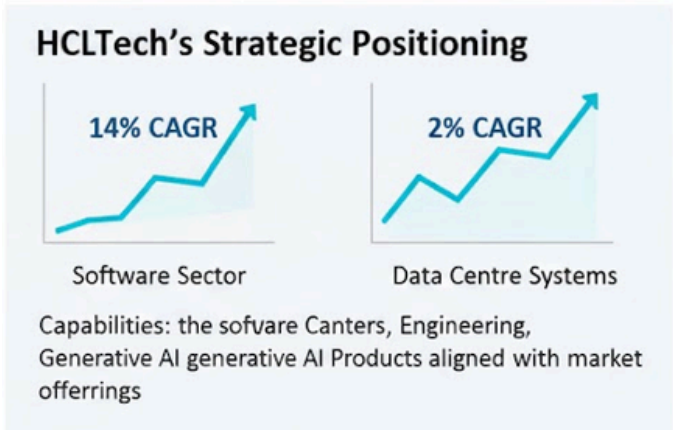
TThe global economy is facing a sharp slowdown in 2025, with growth projected at only 2.3%. This represents the weakest performance since 2008, outside of declared recessions, driven primarily by rising trade barriers and elevated policy uncertainty worldwide. Financial market stability remains tenuous, though a brief period of calm followed the U.S.–China tariff rollback in May. Emerging markets are forecast for slow, slight growth (3.8% in 2025, improving to 3.9% in 2026–27), but the deceleration of China and weak investment in other EMDEs continue to hamper poverty reduction and job creation efforts.

Amidst this macroeconomic caution, HCL is exceptionally well-positioned to capitalize on high-growth segments of the technology sector. The software sector is projected to grow by 14%, while the demand for data center systems is forecast to achieve a significant 25% CAGR. HCL's core capabilities in data center management, engineering services, and next-generation generative AI products directly align with these market demands. This focused strategy allows HCL to target mission-critical IT spending that is less susceptible to discretionary cuts during an economic slowdown.

However, the increasing global protectionism poses a direct risk. The rise in trade restrictions and tariffs creates potential challenges for hardware sourcing, which is critical for HCL's IoT and engineering offerings. Maintaining momentum in these areas will require strategic adjustments, including the diversification of supply chains and potentially localizing final product assembly to mitigate cost and delay risks associated with trade barriers.









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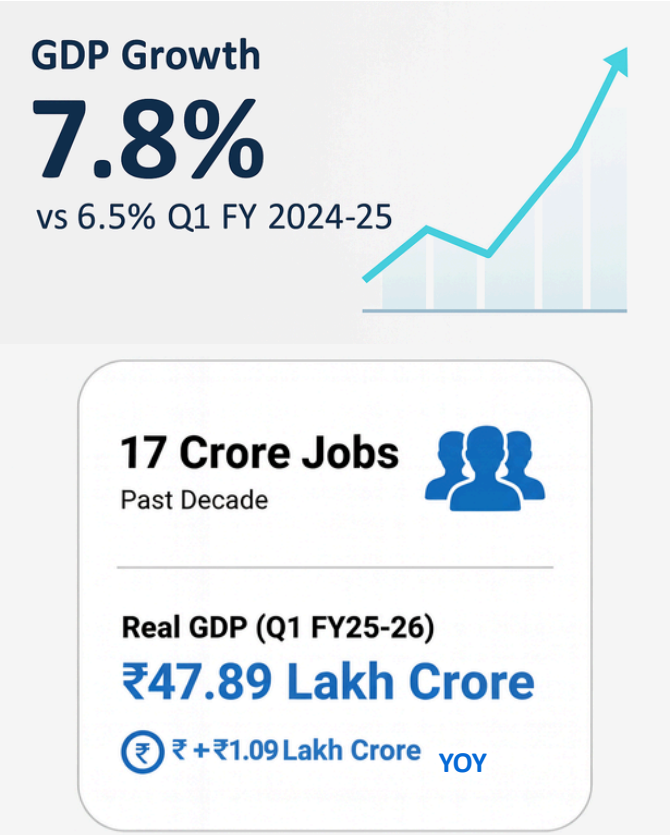
INDIAN ECONOMY

IIndia's economy has commenced FY 2025–26 with exceptional strength, achieving an estimated real GDP growth of 7.8% in Q1, a significant acceleration from the 6.5% recorded a year earlier and consolidating its position as the world's fastest-growing major economy. Real GDP reached a high of ₹47.89 lakh crore, reflecting this impressive expansion which surpassed market expectations.

This momentum is supported by several factors: robust domestic consumption, sustained Gross Fixed Capital Formation (Investment) growth of 7.8%, and a strong push from Government Final Consumption Expenditure (GFCE), which surged by 9.7% in nominal terms, reflecting front-loaded fiscal spending on infrastructure. Sectorally, the tertiary (services) sector has been the primary engine, growing robustly at 9.3%, with the vital IT sector expanding at an even higher 10%. Furthermore, a healthy rebound in manufacturing at 7.7% and sustained construction growth at 7.6%, aided by policy incentives like the PLI scheme and public capex, demonstrates the broad-based nature of the recovery.

On this trajectory, India, currently the world's fourth-largest economy, is firmly projected to become the third-largest by 2030 with a GDP of $7.3 trillion, underpinned by massive employment growth (17 crore jobs created over the past decade) and favorable demographics.

The resilience of the Indian consumer, alongside effective structural reforms, continues to drive this momentum despite global economic headwinds.





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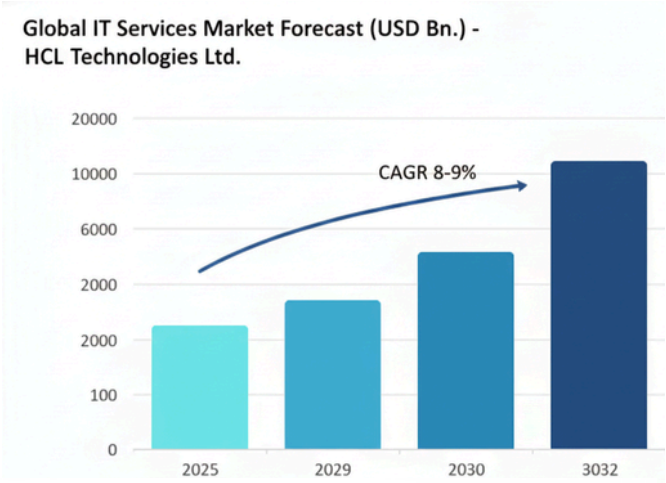
GLOBAL INFORMATION TECHNOLOGY INDUSTRY'

The global IT services market is undergoing a major transformation, driven by digital adoption, cloud migration, and the accelerated use of Artificial Intelligence.

The market is expected to surpass USD 1.6 trillion by 2030, expanding at a strong CAGR of 8-9%. Enterprises are fundamentally changing their approach, shifting away from legacy outsourcing toward outcome-based engagements, demanding industry-specific digital solutions and AI-driven automation.

Geopolitical risks, including data localization mandates and trade restrictions, are reshaping service delivery, causing large enterprises to diversify their vendor base and adopt multi-cloud/hybrid strategies to mitigate dependency. Simultaneously, engineering and R&D outsourcing is growing rapidly to accelerate product design and semiconductor development.

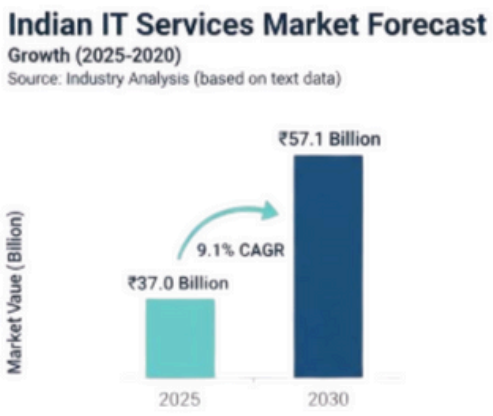
Competition is intense among global giants (Accenture, IBM) and leading Indian players (TCS, HCLTech, etc.), resulting in margin pressures as providers invest heavily in reskilling, AI platforms, and advanced cybersecurity infrastructure.

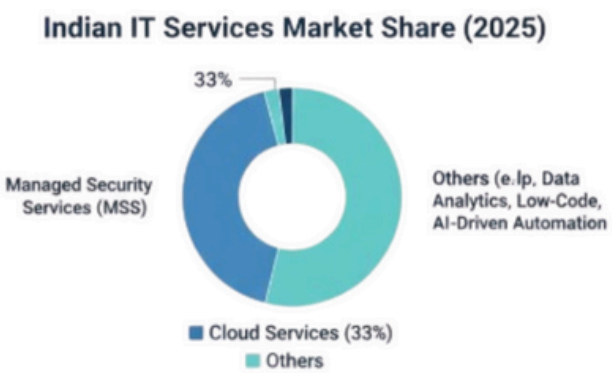


GLOBAL IT SERVICES MARKET FORECAST (USD TRILLION

Source: Industry Analysis, 2025-2020







INDIAN INFORMATION TECHNOLOGY INDUSTRY

India dominates the global IT services supply chain, contributing nearly 60% of the world's outsourcing. The domestic market, valued at USD 37.0 billion (2025), is forecast to grow at a 9.1% CAGR to USD 57.1 billion by 2030.

This expansion is mandated by enterprises pursuing digital transformation, relying heavily on cloud adoption (which holds a 33% market share) and a rapid uptake of Managed Security Services (MSS), the fastest-growing subsegment due to elevated cyber threats.

Market demand is also high for analytics and AI-driven automation. Furthermore, the rise of Global Capability Centers (GCCs) is transforming India's role from a low-cost hub to a strategic center for high-value work in AI and product engineering.

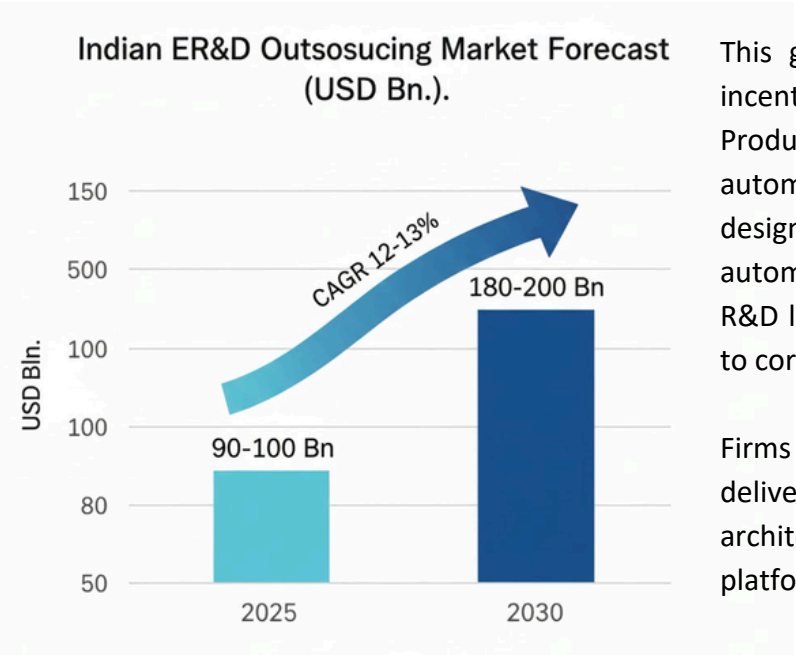
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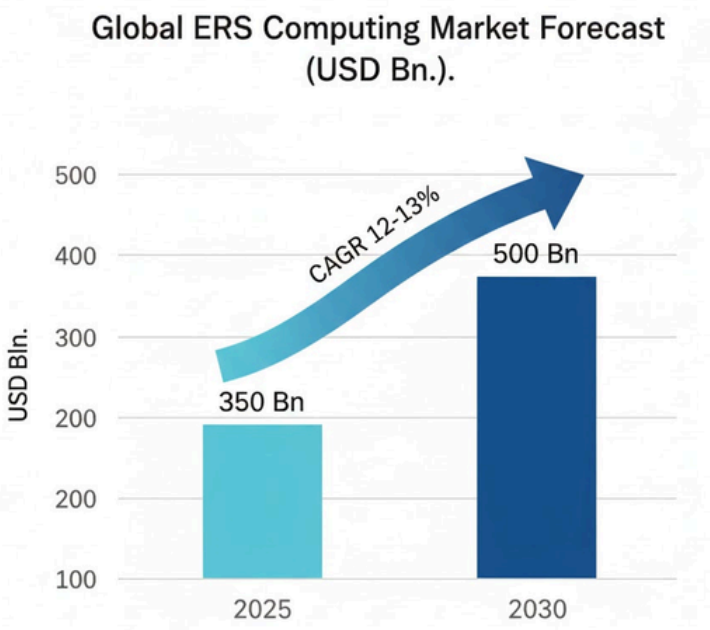
GLOBAL ERS INDUSTRY

The global Engineering and R&D outsourcing industry is valued at USD 350 billion in 2025, projected to exceed USD 500 billion by 2030 at a CAGR of 12–13%. Growth is fueled by the digitalization of products, cars, medical devices, consumer appliances, and telecom equipment are becoming software-defined systems.

This requires engineering partners who can design not just hardware, but embedded software, digital twins, and AI integration.

Sectors like automotive (EVs, autonomous vehicles), semiconductors (chip design, testing), and healthcare (connected devices, medtech) are leading this outsourcing wave. Companies in North America and Europe are increasingly offloading non-core but high-skill engineering functions to specialist service providers to control costs and accelerate innovation.





INDIAN ERS INDUSTRY

India has emerged as the largest offshore hub for ER&D, contributing nearly 30% of the world's ER&D exports. The Indian ER&D outsourcing market is projected to grow at 12–13% CAGR, outperforming the broader IT services market.

This growth is strongly supported by government incentives such as the Semicon India program, Production-Linked Incentives (PLI) for electronics and automotive, and policies encouraging domestic chip design and medtech manufacturing. Global OEMs in automotive, aerospace, and healthcare are setting up R&D labs in India, moving from simple support work to core product development.

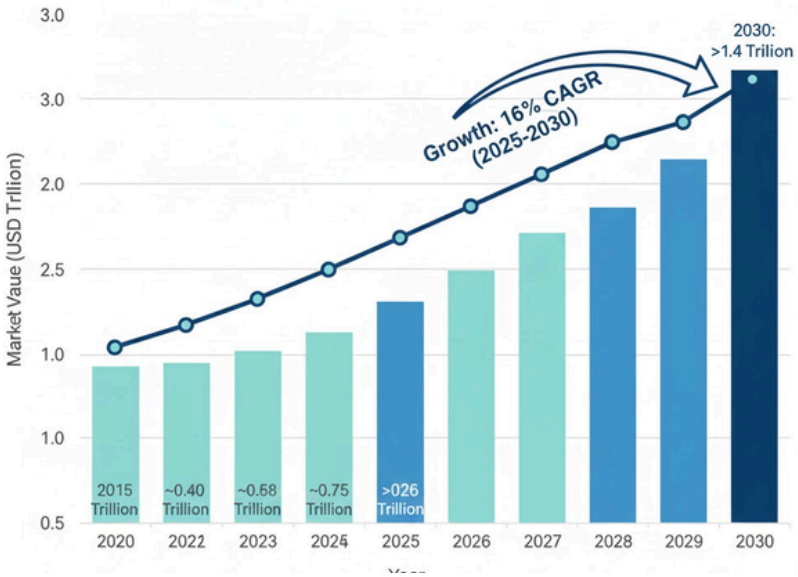
Firms like HCLTech, LTTS, and Infosys ER&D now deliver end-to-end engineering, from chip architecture to autonomous driving software, IoT platforms, and digital manufacturing systems.

India's ER&D strength lies in its deep talent pool, cost efficiency, and ability to blend hardware engineering with AI-driven software innovation.

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GLOBAL CLOUD INDUSTRY

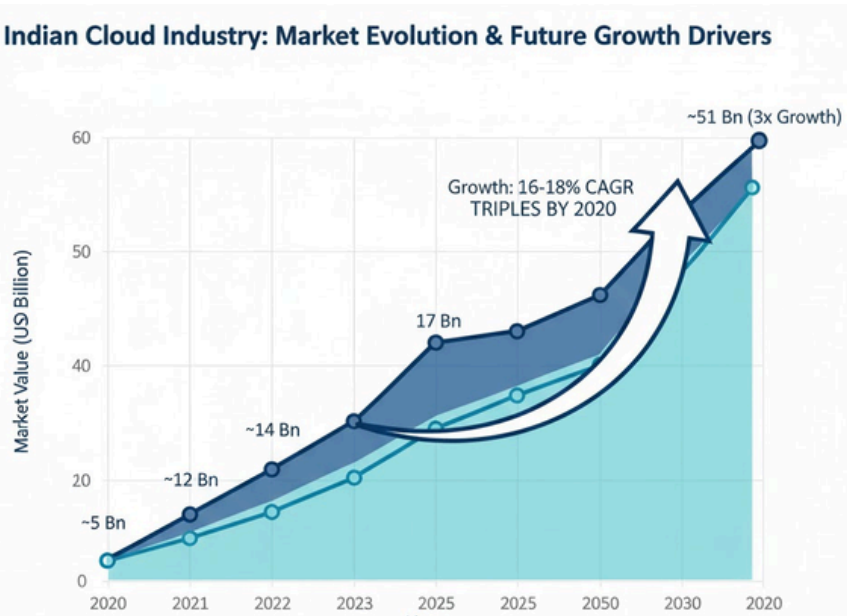
The global cloud computing industry, valued at over USD 600 billion in 2025, is set to more than double, projected to exceed USD 1.4 trillion by 2030 with a robust 16% CAGR. Now the backbone of digital transformation, cloud investment is focused on multi-cloud strategies, SaaS, and AI-powered platforms.



The primary industry challenge is balancing flexibility with security and compliance, which drives the popularity of Hybrid Cloud models for sensitive workloads. Service providers like HCLTech are therefore crucial for integrating, securing, and managing these complex multi-cloud environments for global clients.

INDIAN CLOUD INDUSTRY

India's cloud spending is set to reach USD 17 billion in 2025 and is projected to triple by 2030, driven by BFSI cloud adoption, government e-governance programs, and the 5G rollout. Hyperscalers (AWS, Azure, GCP) are aggressively expanding domestic data centers to comply with data localization laws.



The thriving Indian SaaS ecosystem (e.g., Zoho, Freshworks) and increasing cloud-based ERP/analytics adoption by SMEs are creating massive opportunities for system integrators like HCLTech in cloud migration, digital workplace solutions, and AI-driven platforms.

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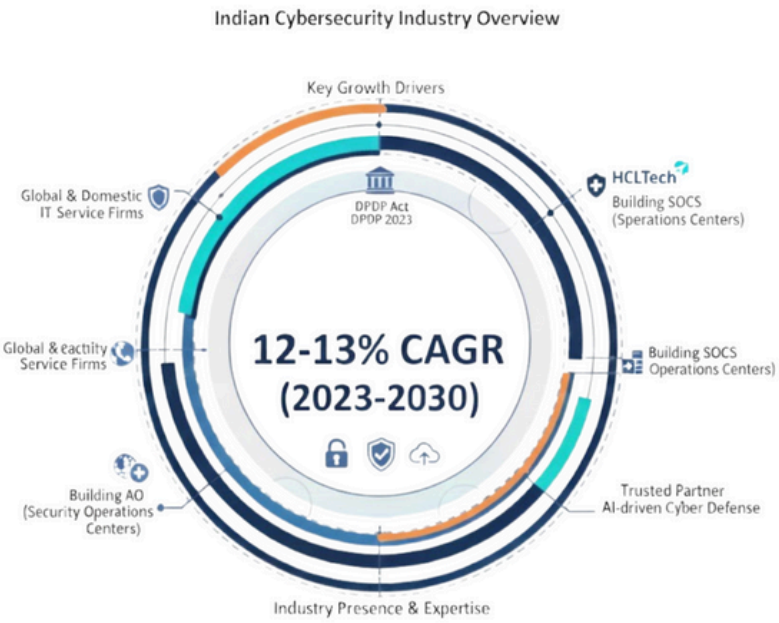
GLOBAL CYBERSECURITY INDUSTRY

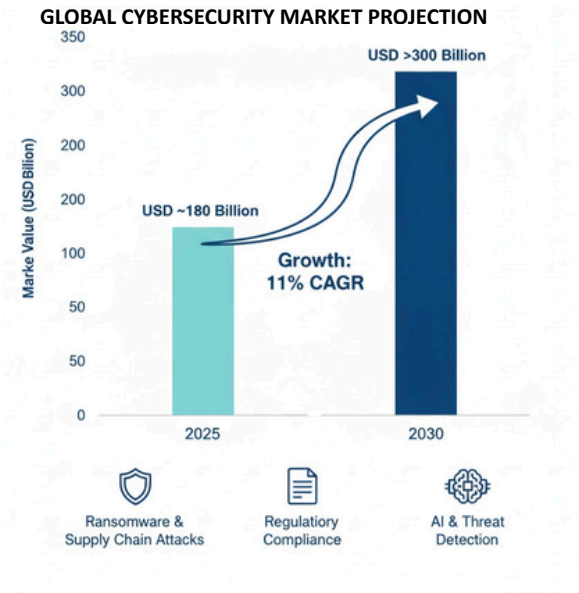
The global cybersecurity market is projected to cross USD 300 billion by 2030, expanding at an 11% CAGR. Cybersecurity is now a boardroom priority due to the surge in ransomware, phishing, and supply chain compromises.

Regulatory bodies (like GDPR, CCPA, and HIPAA) are tightening compliance, compelling organizations to invest in Zero Trust architectures, Security Operations Centers (SOCs), and AI-driven cyber intelligence.

The integration of AI is a major trend, enabling automated threat detection, anomaly monitoring, and predictive risk modeling.

Consequently, global IT providers are combining managed security services with consulting to deliver holistic digital risk offerings.





INDIAN CYBERSECURITY INDUSTRY

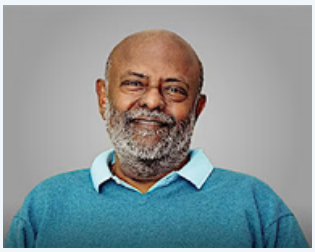
India is one of the fastest-growing cybersecurity markets, expanding at 12–13% CAGR through 2030. The Digital Personal Data Protection Act (2023), RBI cyber norms for banks, and sector-specific rules for telecom and healthcare are driving investments.

With India being a top target for cyberattacks, enterprises are rapidly adopting Managed Security Services (MSS), identity management, and cloud-native security.Global and domestic IT service firms are building Security Operations Centers (SOCs) in India, making the country both a consumer and provider of cybersecurity expertise.

HCLTech, with its global SOC network, has positioned itself as a trusted partner for Indian enterprises and government projects requiring advanced AI-driven cyber defense platforms.

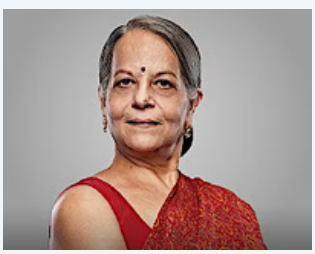
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MANAGEMENT ANALYSIS

Leaders	Description
	**Shiv Nadar – Founder, Chairman Emeritus & Strategic Advisor** Founder of HCL and the Shiv Nadar Foundation, he has been a pioneer of India's IT industry for over 45 years. Under his leadership, HCL grew from building India's first computers to becoming a $14B global technology enterprise. Through the Shiv Nadar Foundation, he has invested over $1B in transformational education, impacting thousands of students. He is a Padma Bhushan awardee and continues to guide HCLTech as Strategic Advisor to the Board.
	**Roshni Nadar Malhotra – Chairperson** Ms. Roshni Nadar Malhotra is the Chairperson of HCLTech, a $55B global technology company, and also serves as Trustee of the Shiv Nadar Foundation and Founder of The Habitats Trust. She has been instrumental in driving the Foundation's $1.5B investments in transformational education, including leading VidyaGyan, a leadership academy for underprivileged rural students. Passionate about conservation, she established The Habitats Trust in 2018 to protect India's natural ecosystems. A graduate in Communications from Northwestern University and MBA from Kellogg School of Management, she has been consistently featured in Forbes' "World's 100 Most Powerful Women" list and was awarded France's Chevalier de la Légion d'Honneur in 2024.
	**C. Vijayakumar – Chief Executive Officer & Managing Director** Mr. C. Vijayakumar (CVK) has been the CEO & Managing Director of HCLTech since 2016 and has led the company's transformation into a global digital technology leader. An engineering graduate from PSG College of Technology, he joined HCL in 1994 as part of the founding team of HCL Comnet, where he pioneered the Remote Infrastructure Management model that evolved into a multi-billion-dollar global industry. Over the years, he has driven HCLTech's growth through strategic focus on Digital, Cloud, Engineering, Cybersecurity, and AI, while also scaling its software products into a billion-dollar business. Recognized as one of India's top CEOs, he has received multiple awards, including Fortune India's "Best CEO" in IT Services (2024), and is an active voice in global forums such as the World Economic Forum, US-India Business Council, and the UN Global Compact.
	**Shikhar Malhotra – Director** Mr. Shikhar Malhotra is a Director on the Board of HCLTech and CEO & Vice Chairman of HCL Healthcare, one of India's largest corporate wellness providers serving over 500,000 customers annually. He is also a Director of HCL Corporation and a Trustee of the Shiv Nadar Foundation, where he drives its vision of nation-building through transformational education. He serves as Chairman of Shiv Nadar School and Chancellor of Shiv Nadar Institution of Eminence, a leading multidisciplinary private university in India. An entrepreneur by training with a specialization in entrepreneurship from Babson College, he also co-founded The Habitats Trust, dedicated to conserving India's lesser-known species and natural habitats.
	**Shiv Kumar Walia – Chief Financial Officer** Mr. Shiv Walia was appointed as the Chief Financial Officer of HCLTech in September 2024, bringing with him over three decades of association with the company. A graduate in Commerce from Shri Ram College of Commerce, he is also a qualified Cost Accountant and Chartered Accountant from both India and Australia. Shiv began his career with HCL in 1993 and has held several finance leadership roles across India, Singapore, Australia, and the UK. Prior to becoming CFO, he served as Corporate Vice President, Finance, leading Global FP&A and Business Operations. His contributions include driving margin expansion, M&A integration, and strengthening global stakeholder relationships.
	**Vijay Guntur – Chief Technology Officer & Head of Ecosystems** Mr. Vijay Guntur serves as HCLTech's Global CTO and Head of Ecosystems, driving technology strategy across digital, cloud, engineering, and AI. A Computer Science graduate from BITS Pilani and MBA from Chicago Booth, Vijay has spent over 30 years with HCLTech in transformative leadership roles. He previously led the $2B Engineering & R&D Services business, pioneering GenAI, software platforms, and sustainability-driven solutions while fostering partnerships with global chipmakers and hyperscalers. He has been instrumental in incubating Centers of Excellence in GenAI, Data & AI, IoT, and IT/OT, positioning HCLTech as a frontrunner in advanced technologies. Passionate about inclusion, he actively champions industry diversity, equity, and ecosystem growth.

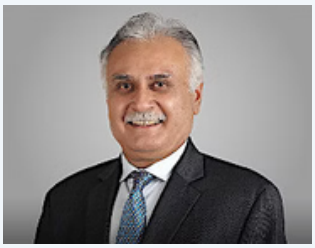
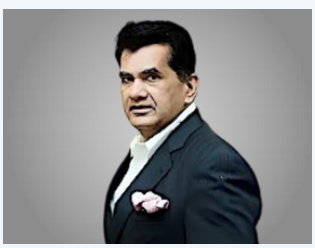
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MANAGEMENT ANALYSIS

Leaders	Description
	**Ajit Kumar – Chief Information Officer** Mr. Ajit Kumar serves as Chief Information Officer of HCLTech, where he leads the reimagination of business processes and enterprise technology to accelerate the company's transformation into a global digital organization. He previously oversaw application services delivery, enabling client digital transformation and scaling HCLTech's delivery footprint across Tier 2 Indian cities, Asia, Europe, and Latin America. Before joining HCLTech, Ajit spent over two decades at Accenture, where he helped establish its consulting business in India and expanded offshore delivery across multiple geographies. As Managing Director, he led global technology delivery for resources industries, covering oil & gas, chemicals, metals, mining, and utilities.
	**Rahul Singh – Chief Operating Officer** Mr. Rahul Singh is COO – Corporate Functions at HCLTech, overseeing People, IT, Marketing, Risk & Compliance, and Administration. With over 35 years of experience in outsourcing, technology, and financial services, he has been instrumental in shaping HCLTech's financial services portfolio and large-scale BPO operations. He previously served as President – Financial Services and Business Process Operations, managing multi-billion-dollar client engagements. Before HCLTech, Rahul held leadership roles at Citibank and founded Citigroup Global Services (eServe), serving as its first CEO and MD. A mechanical engineer and MBA (Finance) from Mumbai University, he also completed a Senior Executive Program at London Business School. He serves on NASSCOM's Executive Council and advocates sustainability initiatives.
	**Ramachandran Sundararajan – Chief People Officer** Ramachandran Sundararajan (Ram) is the Chief People Officer at HCLTech, leading the company's global talent management agenda to strengthen its position as an employer of choice. With over three decades of HR experience across the UK, US, and India, he has played a pivotal role in managing HR strategies in M&A, large-scale IT outsourcing, and global sales incentive design. He previously served as EVP of HR at HCLTech America and spent nearly two decades as European HR Director with HCLTech and other technology firms. A graduate of the Chartered Institute of Personnel Development (UK), Ram holds a PG in HRM from TISS, Mumbai, and a degree in Mechanical Engineering from Coimbatore Institute of Technology.
	**Jill Kouri – Chief Marketing Officer** Ms. Jill Kouri serves as the Chief Marketing Officer of HCLTech, leading the global brand strategy and all marketing functions spanning corporate, digital, recruitment, vertical and horizontal practices. She also serves on the board of HCLTech Public Sector Solutions, focusing on U.S. government and education clients. Prior to HCLTech, Jill was CMO – Americas at JLL and held senior marketing roles at Accenture, where she led global marketing for its $10B Products division. Recognized as a top global CMO, she has earned multiple honors including the 2025 Global B2B CMO 100. Jill is also a strong advocate for women's empowerment, actively supporting Dress for Success.
	**Kalyan Kumar (KK) – Chief Product Officer** Mr. Kalyan Kumar, widely known as KK, is the Chief Product Officer for HCLSoftware, overseeing all product portfolios, central engineering, SaaS platforms, IT, security, and compliance. He joined HCLTech in 2000 through the HCL Comnet division and has since held senior roles across solutions, alliances, and emerging technology incubation. KK previously served as Global CTO and Head – Ecosystems, where he shaped CloudSMART and led partnerships with cloud hyperscalers, OEMs, and telcos. With over two decades of experience, he is globally recognized for his technology leadership, named among the Top 100 Technology Leaders by Technology Magazine. He is also a Fellow of the British Computer Society and active in WEF councils on quantum and digital transformation.
	**Nishi Vasudeva – Independent Director** Ms. Nishi Vasudeva, aged 67, is an Independent Director at HCLTech and Chairperson of the Stakeholders' Relationship Committee, also serving on the Audit, Risk Management, and Nomination & Remuneration Committees. An MBA from IIM Calcutta and Economics graduate from Lady Shri Ram College, she was the first woman to chair an oil and gas company in India, bringing deep expertise in corporate strategy, marketing, business transformation, and regulatory management. Recognized for her leadership, she has received several accolades including Platts Global Energy "CEO of the Year" (2015) and FICCI's "Exceptional Woman Achiever Award" (2014), and was named among Fortune's "Most Powerful Women in Asia Pacific" in 2014.

HCL Technologies Ltd.

MANAGEMENT ANALYSIS

Leaders	Description
	**Deepak Kapoor – Independent Director** Mr. Deepak Kapoor, aged 64, is an Independent Director at HCLTech and serves as Chairperson of the Audit and Risk Management Committees. He is the former Chairman & CEO of PwC India, where he spent 39 years in leadership and client service roles across India and overseas, including as a member of PwC's Global Strategy Council. A Fellow Chartered Accountant and Company Secretary, he has extensive expertise in financial reporting, audit, M&A, and corporate advisory, with experience across multiple sectors such as consumer products, manufacturing, telecom, technology, healthcare, and media.
	**Simon England – Independent Director** With over 30 years of leadership experience across consulting, healthcare, and financial services, he spent 27 years at Accenture leading major businesses in insurance and healthcare, and later held senior roles at Capita. Currently a Partner at Garwood Solutions, he advises clients on strategy and transformation. At HCLTech, he chairs the ESG & DEI Committee and is a member of CSR and Nomination & Remuneration Committees.
	**Vanitha Narayanan – Independent Director** With over 30 years in technology and telecom, she retired from IBM after serving as Managing Director & Chairperson of IBM India and leading global telecom businesses across the US and Asia-Pacific. She has chaired AMCHAM India, served on NASSCOM and CII councils, and was the first woman Chairperson of NIT Surathkal's Board of Governors. Recognized among Fortune India's "Most Powerful Women in Business," she now serves as Independent Director on boards including ReNew Energy and Schlumberger. At HCLTech, she chairs the Nomination & Remuneration Committee.
	**Amitabh Kant – Independent Director** A governance reformer and public policy leader, he most recently served as India's G20 Sherpa (2022–23), driving the historic New Delhi Leaders' Declaration. Former CEO of NITI Aayog, he has spearheaded transformative national initiatives including Startup India, Make in India, Ease of Doing Business reforms, and the Aspirational Districts Program. Earlier, as Secretary, Tourism (Kerala) and Joint Secretary, Ministry of Tourism, he conceptualized the 'God's Own Country' and 'Incredible India' campaigns. He has also led DMICDC and DIPP, shaping India's industrial and infrastructure policies. Recognized with the Order of the Rising Sun (Japan, 2023) and other global honors, he brings deep expertise in governance, development strategy, and policy innovation.
	**Bhavani Balasubramanian – Independent Director** A Fellow Chartered Accountant and Company Secretary, she has 40+ years of experience as Audit & Assurance Partner at Deloitte India, auditing listed companies and multinationals across IT, Energy, Manufacturing, Pharma, Consumer Business, and NBFCs. She has held national leadership positions at Deloitte and served on its international councils. She has contributed extensively to the ICAI's Auditing Standards Board and committees, and today works as a strategic consultant in diversity and inclusion, as well as a leadership coach. She also serves as an Independent Director on several Indian boards.
	**Lee Fang Chew – Independent Director** Lee Fang Chew, 63, is a seasoned technology leader with over three decades of global experience at Intel Corporation (1986–2016), where she held senior roles spanning sales, marketing, software development, finance, and strategic planning. She was instrumental in strengthening Intel's data center and cloud ecosystem, spearheading its entry into the services business, and driving global distribution and channel revenue. From 2017 to 2020, she served as Vice President – Strategic Alliances at Applied Materials, shaping long-term technology partnerships. A Bachelor of Accountancy from the National University of Singapore, she has completed leadership programs at Kellogg (Northwestern) and Stanford. Recognized among the 50 Most Powerful Women of the Channel (VAR Business, 2006), she is multilingual and brings deep insights into technology evolution and market transformation.

HCL Technologies Ltd.

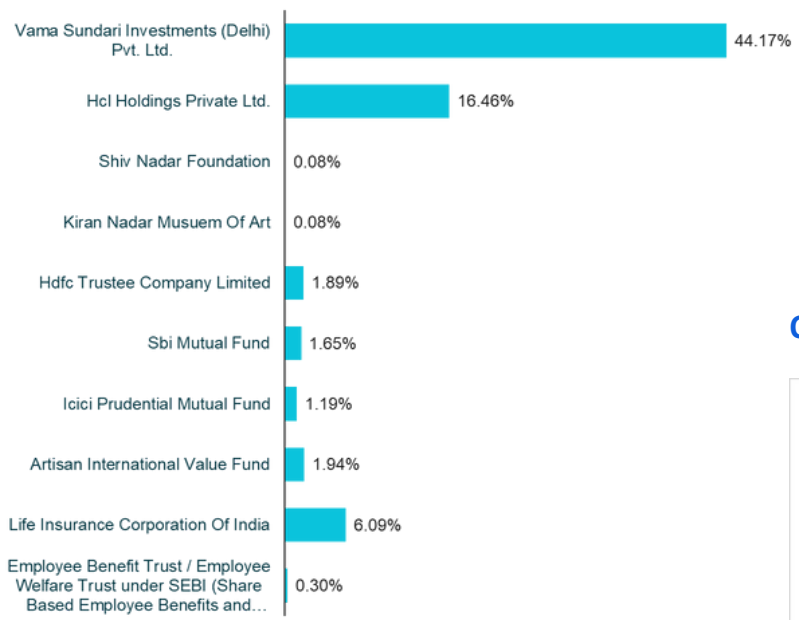
COMMENTARY

- **Strong Educational Pedigree:** Leadership includes **globally trained professionals** Chairperson **Roshni Nadar (Kellogg MBA)** and **CEO C. Vijayakumar (PSG Tech)** bringing a balance of **strategic** and **technical** expertise.
- **Political Neutrality & Philanthropy:** No major **political affiliations** or significant **political donations** found. Founder **Shiv Nadar** is known for substantial **philanthropic contributions**, mainly in education and arts.
- Homegrown Leadership: CEO **C. Vijayakumar** has risen internally since **1994**, reflecting a stable, "**promote-from-within**" leadership culture.
- **Clean Related-Party Practices:** No material **related-party transactions** that suggest **conflicts of interest**; all are **disclosed** and conducted at **arm's length.**
- **Active Board Oversight:** Board met **4 times in FY24** with strong **director attendance**, indicating effective **governance**.
- **Independent Audit Committee:** Audit Committee is composed mainly of **Independent Directors**, with no involvement from the **Chairperson** or **CEO**, ensuring **objective financial supervision**.

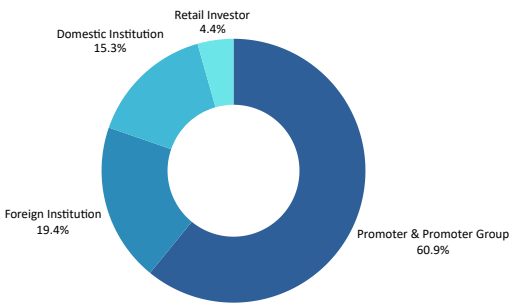
SHAREHOLDING PATTERN:

- As of **December 2024**, HCL Technologies maintains a **concentrated shareholding structure** driven by high promoter ownership, signaling strong stability and alignment with the company's long-term vision. The Promoter and Promoter Group hold a dominant **60.9% stake**, primarily controlled by the **Shiv Nadar family** through investment vehicles such as **Vama Sundari Investments (44.17%)** and **HCL Holdings (16.46%).**
- Institutional participation remains robust, accounting for nearly **35%** of the equity. Foreign Institutional Investors **(FIIs) hold 19.4%**, indicating sustained global interest, while Domestic Institutional Investors **(DIIs) hold 15.3%**, anchored significantly by the **Life Insurance Corporation of India (LIC)** which commands a **6.09%** stake. The remaining **4.4%** is held by retail and individual investors, resulting in a **lower free float** compared to peers, which often contributes to **lower volatility** in the stock price.

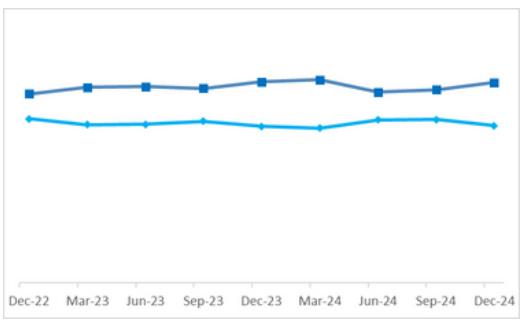
Top 10 Shareholders in HCLTech



HCLTech Shareholding Pattern



QoQ FII & DII Holdings



HCL Technologies Ltd.

SWOT ANALYSIS

STRENGTH

- Balanced and diversified business model with a mix of IT services, engineering, and software products.
- Global footprint across 60+ countries, enabling strong client reach and delivery capabilities.
- Strong AI and digital innovation capabilities, supported by platforms like AI Force and AI Foundry.
- Strategic partnerships with leading technology companies, enhancing its transformation and solution offerings.
- Consistent recognition from industry analysts, strengthening credibility and reinforcing its brand position.

WEAKNESS

- Margin pressure due to increased investments in AI, digital capabilities, and sales expansion impacting short-term profitability.
- Ongoing challenge in balancing growth with operational efficiency, especially during periods of strategic reinvestment.
- High dependence on the U.S. market, which is currently growing slower than other regions.
- Weaker demand in key industries such as healthcare and manufacturing affecting overall performance.
- Revenue risk due to dependence on a few large clients.

OPPORTUNITY

- Strongly positioned to capture rising enterprise demand for AI, automation, and digital transformation.
- Full-stack capabilities and co-innovation labs enable delivery of practical, scalable, and industry-specific AI solutions.
- Accelerating growth in Europe and emerging markets offers greater geographic diversification and reduces dependence on the U.S.
- Robust engineering services portfolio creates differentiated opportunities in product development and R&D-led engagements.

THREAT

- Uncertain macro environment driven by geopolitical tensions, trade restrictions, and economic volatility affecting client spending.
- Discretionary IT projects remain at risk, as clients prioritize cost optimization over new initiatives.
- Intense competition from global and Indian IT peers rapidly scaling their AI, cloud, and digital capabilities.
- Regulatory risks related to data protection, outsourcing policies, and immigration rules that may affect operations and workforce mobility.
- Combined risks could weigh on growth and margins.

HCL Technologies Ltd.

QUARTERLY RESULT ANALYSIS - Q1 AND Q2

FINANCIAL PERFORMANCE

Q1 FY26 saw INR Revenue of ₹30,349 Crores (up 8.2% YoY), but Net Income (PAT) dropped to ₹3,843 Crores (down 9.7% YoY), hurt by lower utilization, one-time client bankruptcy impact, and investments.

Q2 FY26 showed a strong rebound with INR Revenue of ₹31,942 Crores (up 10.7% YoY) and Net Income (PAT) of ₹4,235 Crores (up 10.2% QoQ).

Operating Margin (EBIT) recovered significantly from 16.3% in Q1 to 17.4% in Q2, demonstrating successful cost management despite a 55 bps impact from restructuring costs.

Total Contract Value **(TCV) of new deal wins soared in Q2 to $2.6 Billion (up 41.8% QoQ)**, without reliance on any single 'mega-deal', signaling healthy demand and a strong pipeline.

CHALLENGES AND STRATEGIC FOCUS

Q1 Margin Pressure: Operating margins were constrained in Q1 due to subdued demand, planned Gen AI and Go-to-Market (GTM) investments, and a delayed project ramp-up.

AI Monetization: HCLTech is transitioning to an 'AI monetization phase'**. In Q2, revenue from Advanced AI solutions crossed $100 million for the quarter,** reflecting the success of its AI-first strategy.

Vertical Growth: Q2 growth was robust, led by Technology and Services (up 13.9% CC YoY) and Financial Services (up 11.4% CC YoY).

Guidance: **The company revised the lower end of its Services Revenue growth guidance for FY26 to 4.0%-5.0% in Constant Currency**, reflecting increased confidence post-Q2 performance.

STRATEGIC AI & DIGITAL INITIATIVES

AI Solutions: HCLTech is aggressively deploying its AI-powered platforms like AI Force (for service transformation and enhanced productivity) and AI Foundry (for enterprise-wide AI solution integration).

Key Deal Traction: AI-led deal wins included a major legacy modernization program for a European retailer and implementing a computer vision-based Physical AI solution for an Australian transport authority.

Digital Contribution: **Digital revenue continues to drive growth, increasing 15.0% YoY (CC) and contributing 42% of Services revenue.**

PEOPLE AND TALENT STRATEGY

Restructuring: A restructuring program was initiated, primarily targeting underutilized overseas assets and teams in Q1, factored into the guidance to improve margins back to the 17%-18% range.

Headcount Growth: Total employee count showed a net addition of 3,489 people in Q2 (Total 226,640), contrasting with some industry peers' headcount reductions.

Fresher Hiring: **The company added 5,196 freshers in Q2,** focusing on an elite cadre of specialized freshers in high-demand areas like AI and data.

Attrition: **The LTM Attrition rate moderated further to 12.6% in Q2, remaining among the lowest in the industry.**

DIVIDEND

The board declared an **interim dividend of ₹12 per share for both Q1 FY26 and Q2 FY26,** marking the 90th and 91st consecutive quarterly dividend payouts.

HCL Technologies Ltd.

Quarterly Snapshot -Consolidated

	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25
Revenue	28,499	28,057	28,862	29,890	30,246	30,349	31,942
Expenditure	22,382	22,264	22,493	23,030	23,764	24,314	25,397
EBITDA	6,117	5,793	6,369	6,860	6,482	6,035	6,545
EBITDA Margin %	21%	21%	22%	23%	21%	20%	20%
Other Income	416	1,103	456	477	449	456	415
Interest	171	191	131	166	156	209	215
Depreciation	1,093	998	1,007	1,039	1,040	1,093	1,043
Profit before tax	5,269	5,707	5,687	6,132	5,735	5,189	5,702
Tax	1264.56	1369.68	1364.88	1471.68	1376.4	1245.36	1368.5
Net Profit	3,995	4,259	4,237	4,594	4,309	3,844	4,236
EPS in Rs	14.69	15.69	15.61	16.92	15.87	14.16	15.6

Yearly Snapshot-Consolidated

	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Sales +	60,427	70,676	75,379	85,651	1,01,456	1,09,913
Expenses -	46,501	53,360	55,331	65,122	78,828	85,715
Material Cost %	1395.03	1067.2	1106.62	1302.44	1576.56	1714.3
Manufacturing Cost %	8835.19	9604.8	8852.96	11070.74	13400.76	12857.25
Employee Cost %	22320.48	26146.4	28772.12	35165.88	42567.12	48857.55
Other Cost %	3255.07	3201.6	1659.93	1953.66	3153.12	3428.6
Operating Profit	13,926	17,316	20,048	20,529	22,628	24,198
OPM %	23%	24%	27%	24%	22%	22%
Other Income -	943	589	927	1,067	1,358	1,495
Exceptional items	167	125	215	118	265	172
Other income normal	776	464	712	949	1,093	1,323
Interest	174	505	511	319	353	553
Depreciation	2,073	3,420	4,611	4,326	4,145	4,173
Profit before tax	12,622	13,980	15,853	16,951	19,488	20,967
Tax %	20%	21%	30%	20%	24%	25%
Net Profit	10,120	11,057	11,169	13,523	14,845	15,710
EPS in Rs	37.31	40.75	41.07	49.74	54.73	57.86

HCL Technologies Ltd.

RATIO ANALYSIS

Profitability Ratios	Jun-15	Mar 2016	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Sales Growth	14.18%	-15.16%	52.77%	6.31%	19.49%	16.96%	6.65%	13.63%	18.45%	8.34%	6.50%
Gross Profit	8486	6654	10390	11246	13926	17316	20048	20529	22628	24198	25504
EBIT growth	9.90%	-22.74%	53.14%	3.15%	20.18%	17.24%	11.09%	4.96%	14.07%	8.34%	6.97%
PBT Growth	15.16%	-22.77%	49.72%	4.57%	14.50%	10.76%	13.40%	6.93%	14.97%	7.59%	10.94%
Net Profit Growth	12.47%	-23.70%	53.62%	1.35%	16.03%	9.26%	1.01%	21.08%	9.78%	5.83%	10.75%
Dividend Growth	493.02%	-47.38%	53.62%	-51.86%	-32.83%	148.32%	-3.03%	323.77%	15.00%	8.23%	15.67%
Dividend Payout	58%	40%	40%	19%	11%	25%	24%	84%	88%	90%	94%
Gross margin	23.00%	21.00%	22.00%	22.00%	23.00%	25.00%	27.00%	24.00%	22.00%	22.00%	22.00%
Operating Margin	22.02%	20.05%	20.10%	19.50%	19.62%	19.66%	20.48%	18.92%	18.22%	18.22%	18.30%
PBT Margin	24.84%	22.61%	22.16%	21.80%	20.89%	19.78%	21.03%	19.79%	19.21%	19.08%	19.87%
Net Profit Margin	20.00%	17.99%	18.09%	17.25%	16.75%	15.64%	14.82%	15.79%	14.63%	14.29%	14.86%

Leverage Ratios	Jun-14	Jun-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Equity Capital	140	281	282	285	278	271	543	543	543	543	543	543
Reserves	19,410	23,943	27,109	32,664	36,108	41,095	50,724	59,370	61,371	64,862	67,720	69,112
Equity Value	19,550	24,224	27,391	32,949	36,386	41,366	51,267	59,913	61,914	65,405	68,263	69,655
Total Assets	29,980	35,245	39,341	45,762	47,989	58,349	82,819	86,047	88,921	93,250	99,006	1,04,480
Debt	10,430	11,021	11,950	12,813	11,603	16,983	31,552	26,134	27,007	27,845	30,743	34,825
CFO	6,457	5,539	3,823	8,995	8,328	8,971	13,359	19,618	16,900	18,009	22,448	22,261
CFO/Debt	0.62	0.50	0.32	0.70	0.72	0.53	0.42	0.75	0.63	0.30		0.33
Debt/Equity	0.53	0.45	0.44	0.39	0.32	0.41	0.62	0.44	0.44	0.43	0.45	0.5
Debt/Assets	0.35	0.31	0.3	0.28	0.24	0.29	0.38	0.3	0.3	0.3	0.31	0.33
Debt/EBITDA	1.3	1.3	1.8	1.23	1.03	1.22	1.82	1.3	1.32	1.23	1.27	1.37
Financial Leverage	1.53	1.45	1.44	1.39	1.32	1.41	1.62	1.44	1.44	1.43	1.45	1.50

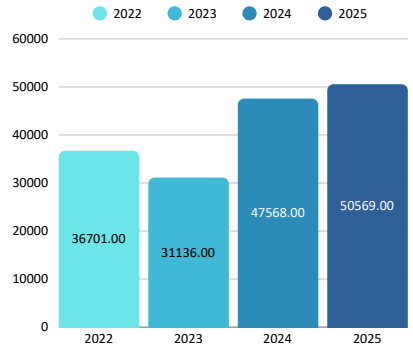
Efficiency Ratios	Jun-14	Jun-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Trade receivables	5,683	6,539	7,721	8,301	9,639	11,706	14,131	17,525	20,671	25,506	25,521	25,842
Debtor Days	65	65	91	64	70	71	73	85	88	92	85	81
Debtor Turnover	5.62	5.62	4.01	5.70	5.21	5.14	5.00	4.29	4.15	3.97	4.29	4.51
Inventory Days	1.85	2.04	3.94	2.71	1.60	0.71	0.62	0.62	0.90	1.06	0.79	0.53
Net Fixed Asset Turnover	4.03	4.26	4.05	3.00	2.56	2.55	2.21	2.32	2.54	2.69	2.82	2.89
Total Asset Turnover	0.82	0.76	0.68	0.57	0.56	0.49	0.34	0.33	0.32	0.32	0.31	0.29
Sales/Capital Employed	1.12	1.01	0.92	0.87	0.92	0.81	0.63	0.58	0.54	0.51	0.47	0.44
Net Sales	24,686	26,700	26,606	26,296	26,672	28,446	28,499	28,057	28,862	29,890	30,246	30,349
Total Assets	29,980	35,245	39,341	45,762	47,989	58,349	82,819	86,047	88,921	93,250	99,006	1,04,480
Fixed Assets	7,444	8,275	9,716	15,235	18,753	22,888	37,490	37,145	35,077	34,619	35,063	36,172
Capital Employed	22,005	26,418	29,014	30,079	28,916	35,226	44,929	48,590	53,715	58,591	63,835	68,249
Working Capital	531	552	611	448	320	235	400	312	129	40	108	59
Inventories	122	158	264	276	172	91	91	94	161	228	185	133
COGS	24,108	28,215	24,482	37,178	39,323	46,501	53,360	55,331	65,122	78,828	85,715	91,551
Inventory Turnover	197.607	178.575949	92.735	134.7	228.62	511	586.37	588.628	404.48	345.74	463.32	688.3534
Inventory Days	1.85	2.04	3.94	2.71	1.60	0.71	0.62	0.62	0.90	1.06	0.79	0.53

VALUATION RATIOS	Jun-14	Jun-15	Mar-17	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
EV	96904.12	120697.44	106192.95	116478.63	132468.5	141183	117446.63	262157.68	311226.53	288863.3	411429.95	427529.93
EV/EBITDA	12.16	14.98	17.4	13.22	13.19	12.58	8.79	17.02	19.46	16.72	22.92	22.56
P/E	12.21	13.55	16	11.67	12.61	11.94	8.89	20.15	20.28	18.01	25.29	24.38
P/CFO	0.04	0.06	0.08	0.04	0.05	0.05	0.03	0.04	0.06	0.05	0.07	0.07
P/B	0.98	1.97	1.57	1.45	1.47	1.46	1.91	3.74	4.42	4.08	5.81	6.08
P/S	3.42	3.87	3.66	2.48	2.59	2.37	2.05	3.56	3.62	3.01	4.05	3.65

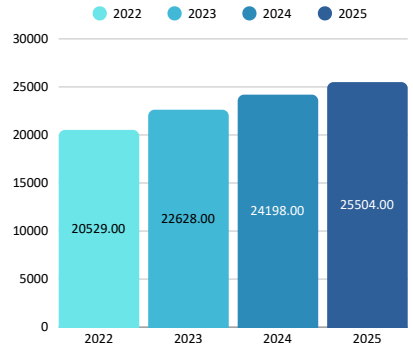
HCL Technologies Ltd.

DUPONT ANALYSIS

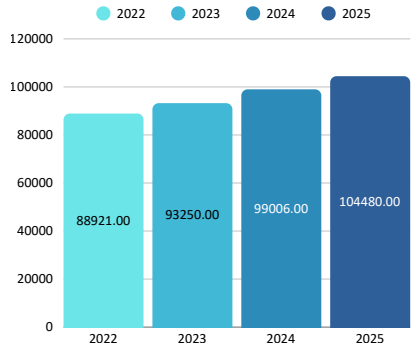
Revenue



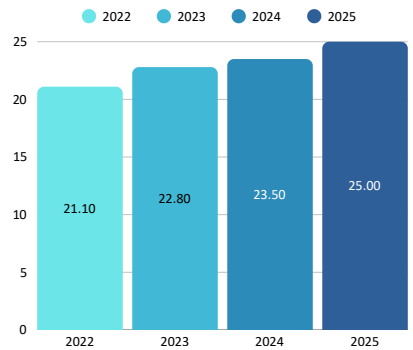
Net Profit



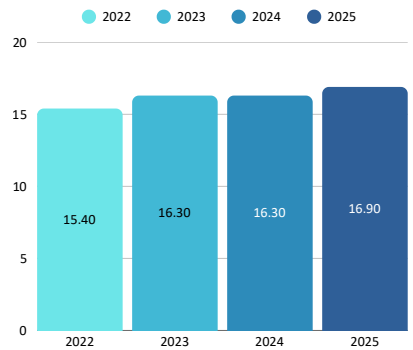
Average Total Assets



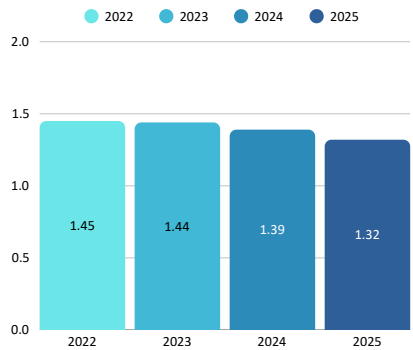
Return on Equity



Return on Asset



Financial Leverage



Return on Equity(ROE) & Return on Assets(ROA)					
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Profit	20048	20529	22628	24198	25504
Average Shareholder Equity	59,913	61,914	65,405	68,263	69,655
Average Total Assets	86,047	88,921	93,250	99,006	104,480
Return on Equity	20.10	21.10	22.80	23.50	25.00
Return on Assets	13.20	15.40	16.30	16.30	16.90

DuPont Equation					
	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Net Profit	20048	20529	22628	24198	25504
Revenue	32,144	36,701	31,136	47,568	50,569
Net Profit Margin(A)	14.82%	15.79%	14.63%	14.29%	14.86%
Revenue	32,144	36,701	31,136	47,568	50,569
Average Total Assets	86,047	88,921	93,250	99,006	104,480
Asset Turnover Ratio(B)	0.88	0.96	1.09	1.11	1.12
Average Total Assets	86,047	88,921	93,250	99,006	104,480
Average Shareholder Equity	59,913	61,914	65,405	68,263	69,655
Financial Leverage(C)	1.53	1.45	1.44	1.39	1.32
Return on Equity(A*B*C)	19.91	22.13	22.86	22.03	21.96
Return on Assets(A*B)	12.98	15.21	15.92	15.86	16.65

HCL Technologies Ltd.

HCLTech

CCA

Financials

	Revenue	EBITDA	Net Income	Equity Value
TCS	257688	73676	49687	1071066.143
Infosys	165954	43544	27300	618922.512
HCL Technologies	122427	27714	16983	405806.698
Wipro	89259.2	22165	13517	260438.5596
LTIMindtree	38706.1	7694.1	4721	162336.798
Tech Mahindra	53334	8267.9	4517	143903.24
Persistent Systems	13218.7	2584.5	1665.16	83484.756

Valuation

EV/EBITDA	EV/Revenue	EV / EBIT	P/E
14.5x	4.1x	15.7x	21.6x
13.8x	3.6x	15.5x	22.7x
14.0x	3.2x	16.5x	23.9x
12.1x	3.0x	13.9x	19.3x
20.9x	4.2x	24.1x	34.4x
17.1x	2.7x	22.0x	31.9x
32.0x	6.3x	37.1x	50.1x

HCL Technologies Ltd.

CCA

High	32.0x	6.3x	37.1x	50.1x
75th Percentile	19.0x	4.2x	23.0x	33.1x
Average	17.8x	3.9x	20.7x	29.1x
Median	14.5x	3.6x	16.5x	23.9x
25th Percentile	13.9x	3.1x	15.6x	22.1x
Low	12.1x	2.7x	13.9x	19.3x

Implied EV	442653	401582	412587
Net Debit	6780	6780	6780
Implied Market Value	435873	394802	405807
Share Outstanding	271.37	271.37	271.37
Implied Value Per Share	1606.2	1454.85	1495.4

CCA INTERPRETATION: HCL TECHNOLOGIES

HCL Technologies' valuation is fundamentally fair when benchmarked against its industry peers.

- **Average Positioning**: The analysis shows that HCLTech trades near the median of its comparable companies for key multiples like P/E and EV/EBITDA. Its P/E ratio (23.9x) aligns perfectly with the sector median, suggesting the market currently views its profitability and expected growth trajectory as average for a large, diversified IT services firm.
- **Fair Value Confirmation**: The range of Implied Share Prices calculated by applying these median multiples to HCLTech's financials successfully captures its current market price. This serves as a strong indication that the stock is not significantly over- or under-valued relative to prevailing sector norms.
- **Strategic Conclusion:** The consensus valuation confirms HCLTech's status as a stable, mature investment within the sector. It does not command the high-growth premium seen in certain specialized peers, nor does it trade at the deep discount of struggling firms, thereby reflecting its established market position.

HCL Technologies Ltd.

DEPRICIATION ANALYSIS

	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Revenue	31,136	47,568	50,569	60,427	70,676	75,379	85,651	1,01,456	1,09,913
Revene Growth		***53%***	***6%***	***19%***	***17%***	***7%***	***14%***	***18%***	***8%***
Fixed Assets	9,716	15,235	18,753	22,888	37,490	37,145	35,077	34,619	35,063
Fixed Assets Growth		57%	23%	22%	64%	-1%	-6%	-1%	1%
Fixed Asset % of sales	***31%***	***32%***	***37%***	***38%***	***53%***	***49%***	***41%***	***34%***	***32%***
Depriciation	410	828	1,383	2,073	3,420	4,611	4,326	4,145	4,173
Dep Growth		102%	67%	50%	65%	35%	-6%	-4%	1%
Dep % sales	**1%**	**2%**	**3%**	**3%**	**5%**	**6%**	**5%**	**4%**	**4%**
Dep% Fixed Asset	**4%**	**5%**	**7%**	**9%**	**9%**	**12%**	**12%**	**12%**	**12%**
Gross Block	**13,767**	**20,000**	**24,639**	**30,730**	**47,869**	**50,009**	**50,089**	**52,591**	**55,950**
Depriciation	4,051	4,765	5,886	7,842	10,379	12,864	15,012	17,972	20,887
Net Block	**9,716**	**15,235**	**18,753**	**22,888**	**37,490**	**37,145**	**35,077**	**34,619**	**35,063**
Depriciation of the year	410	828	1,383	2,073	3,420	4,611	4,326	4,145	4,173
Average life of an Asset	**33.58**	**24.15**	**17.82**	**14.82**	**14.00**	**10.85**	**11.58**	**12.69**	**13.41**
Average age of an Asset	**9.88**	**5.75**	**4.26**	**3.78**	**3.03**	**2.79**	**3.47**	**4.34**	**5.01**

CAPITAL EXPENDITURE & ASSET BASE

Fixed Asset Growth saw a peak increase of **64% in Mar-20**, driven by heavy capital expenditure. Growth has since slowed, stabilizing to **1% in Mar-24**, suggesting a shift from aggressive expansion to maintenance.
The **Fixed Asset as % of Sales** peaked at **53% in Mar-20** but has steadily dropped to **32% in Mar-24**. This indicates **stronger asset efficiency**, as revenue growth has outpaced the accumulation of fixed assets.

DEPRECIATION AND ASSET LIFE

Depreciation Growth was high until **Mar-20 (65%)**, corresponding with the asset expansion. It subsequently decelerated, reflecting the slowdown in new asset additions.
Depreciation as % of Fixed Assets (the effective depreciation rate) increased from **4% in Mar-16** to a stable **12% from Mar-21 to Mar-24.** This suggests a strategic shift towards assets with a **shorter useful life** or a **change in policy**.
The **Average Life of an Asset** dramatically fell from **33.58 years (Mar-16)** to **10.85 years (Mar-21)**, reinforcing the move toward **shorter-lived**, potentially **technology-intensive assets.**

ASSET AGE PROFILE

The **Average Age of an Asset** plummeted from **9.88 years (Mar-16)** to **2.79 years (Mar-21)**. This drop confirms a period of significant new capital investment and modernization.
The average age has since increased to **5.01 years (Mar-24)**, confirming the recent reduction in new asset purchases as the company now utilizes its **younger, modernized asset base**.

SUMMARY

HCL Technologies completed a major **asset modernization cycle** around **Mar-21**. The subsequent years show **greater operational efficiency** (lower Fixed Asset % of Sales) as the company leverages its relatively **young asset base** while scaling back large capital expenditures.

HCL Technologies Ltd.

CAPEX ANALYSIS

	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Land	0%	0%	0%	0%	1%	1%	1%	1%	1%
Building	16%	13%	11%	10%	12%	12%	10%	10%	10%
Plant & Machinery	10%	7%	6%	6%	4%	4%	4%	4%	4%
Equipment	2%	1%	1%	1%	1%	1%	1%	1%	1%
Computers	22%	18%	17%	18%	14%	13%	14%	16%	15%
Furniture & Fittings	5%	4%	3%	3%	2%	2%	2%	2%	2%
Vehicles	1%	1%	0%	0%	0%	0%	0%	0%	0%
Intangible Assets	43%	54%	58%	59%	51%	53%	52%	52%	52%
Other Fixed Assets	1%	2%	2%	3%	15%	15%	16%	15%	15%
Gross Block	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Gross Block	13767	20000	24639	30730	47869	50009	50089	52591	55950
Accumulated Depriciation	4051	4765	5886	7842	10379	12864	15012	17972	20887
Net Fixed Asset	9,716	15,235	18,753	22,888	37,490	37,145	35,077	34,619	35,063
Growth Fixed Assets		**57%**	**23%**	**22%**	**64%**	**-1%**	**-6%**	**-1%**	**1%**
Growth Net Fixed Assets		5,519	3,518	4,135	14,602	-345	-2,068	-458	444
Revenue	31,136	47,568	50,569	60,427	70,676	75,379	85,651	1,01,456	1,09,913
Growth in revnue		53%	6%	19%	17%	7%	14%	18%	8%
Change in revenue		16,432	3,001	9,858	10,249	4,703	10,272	15,805	8,457
Change in gross block		**6233**	**4639**	**6091**	**17139**	**2140**	**80**	**2502**	**3359**
Change in revenue/Change in gross block		2.6	0.6	1.6	0.6	2.2	128.4	6.3	2.5
Sales/Fixed Assets	3.2	3.1	2.7	2.6	1.9	2.0	2.4	2.9	3.1

Growth vs. Maintenance Capex	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24
Change in gross block	6233	4639	6091	17139	2140	80	2502	3359
Depreciation of the year	828	1383	2073	3420	4611	4326	4145	4173
Maintenance capex	**828**	**1383**	**2073**	**3420**	**4611**	**4326**	**4145**	**4173**
Growth capex	**5405**	**3256**	**4018**	**13719**	**-2471**	**-4246**	**-1643**	**-814**

Mar-16 to Mar-20: A period of aggressive expansion characterized by high Growth CAPEX (peaked at 13,719 in Mar-20) and rapid asset base growth.

Post-Mar-20: A transition to a consolidation phase. Growth CAPEX turned negative (e.g., -2,471 in Mar-21), meaning the company is now harvesting assets and relying on the capacity previously built.

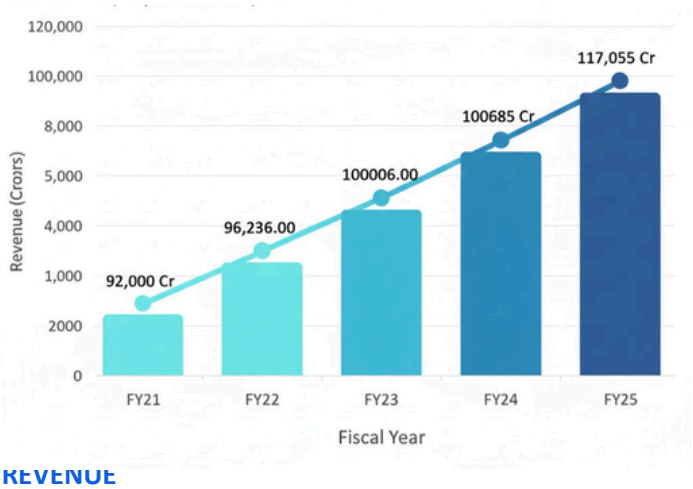
C**urrent Focus:** Capital allocation is now primarily directed towards increasing Maintenance CAPEX (up to 4,173 in Mar-24) to sustain the existing, younger asset base.

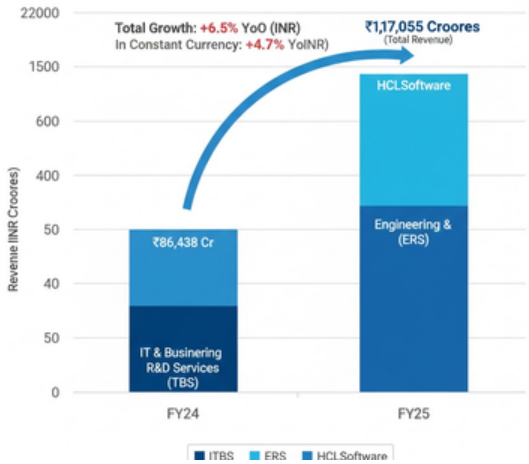
Conclusion: HCLTech has moved from a major asset modernization cycle to a focus on asset optimization and efficiency.

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REVENUE ANALYSIS

FY25 consolidated revenue: ₹117,055 Crores (US$13.84 bn) - Revenue growth FY25: +6.5% YoY (INR)





REVENUE

HCLTech reported consolidated revenue of ₹117,055 Crores (US$13.84 bn) for FY25, registering a ~6.5% YoY increase in INR and 4.7% growth in constant currency. The company delivered industry-leading CC growth among peers while maintaining a strong EBIT margin of 18.3%. Management highlighted a robust deal pipeline with net new wins of ~$9.3–9.4 bn for the year.

FY25 segment split (INR):

- **IT & Business Services (Services): ₹86,438 Crores - the largest contributor, showing steady services momentum.**
- **Engineering & R&D Services (ERS): ₹18,960 Crores, a high-growth core that supports HCL's engineering/embedded strength.**
- **HCLSoftware (Products & Platforms): ₹12,049 Crores - growing steadily and strategically important for recurring revenue.**
- **Services revenue in FY25 was ~₹105,398 Crores (Services = ITBS + ERS), up ~6.6% YoY.**

HCL's revenue is concentrated in developed markets. For FY25 the geography mix was roughly: Americas ~63–64%, Europe ~28–29%, and Rest of World ~6–9%. Americas and Europe both grew in constant currency (~5.2% CC each) as digital and engineering deals expanded.

SALES DRIVERS

- **Strong deal wins: New deals/bookings ~$9.3–9.4 bn for FY25, supporting near-term visibility.**
- **Services momentum: Services (core IT + ERS) grew ~6.6% YoY (INR) aided by cross-sell and integrated offerings.**
- **HCLSoftware: Product revenue continued to scale, contributing recurring revenues and higher margin potential.**
- **Risks: Modest client concentration (reliance on developed market spend), macro sensitivity in the US/EU, and program timing/bench impacts**

HCLSoftware delivered ₹12,049 Crores in FY25, growing steadily year-on-year and providing a strategic shift toward higher recurring revenue mix. Continued investment in software IP is a key lever for margin expansion and sticky customer engagement.

REVENUE QUALITY AND CONCENTRATION

- Services vs. Products: **Services comprised ~90%+ of total revenue** (services = ITBS + ERS), with HCLSoftware adding strategic diversification. HCLTech
- Top client concentration: HCL reports significant revenue from large global clients; check the FY25 annual report.
- Contract visibility: **Strong bookings ($9.3–9.4 bn) and multi-year managed services contracts improve revenue visibility.**

EXECUTIVE SUMMARY

HCLTech closed FY25 with robust top-line performance (₹117,055 Cr / US$13.84 bn) and healthy margin discipline (EBIT 18.3%). Growth was driven by services momentum, accelerated engineering & R&D engagements, and steady expansion of HCLSoftware. Strong new deal wins (~$9.3–9.4 bn) provide multi-quarter revenue visibility, though client concentration and macro sensitivity in developed markets remain watchpoints for PE investors.

HCL Technologies Ltd.

INVENTORY ANALYSIS

	Jun-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	32,144	36,701	31,136	47,568	50,569	60,427	70,676	75,379	85,651	1,01,456	1,09,913	1,17,055
Revenue Growth		**14.18%**	**-15.16%**	**52.77%**	**6.31%**	**19.49%**	**16.96%**	**6.65%**	**13.63%**	**18.45%**	**8.34%**	**6.50%**
Inventory	122	158	264	276	172	91	91	94	161	228	185	133
Inventory Growth		**29.51%**	**67.09%**	**4.55%**	**-37.68%**	**-47.09%**	**0.00%**	**3.30%**	**71.28%**	**41.61%**	**-18.86%**	**-28.11%**
Inventory % of Revenue	0.38%	0.43%	0.85%	0.58%	0.34%	0.15%	0.13%	0.12%	0.19%	0.22%	0.17%	0.11%
Inventory Turnover Ratio	**197.61**	**178.58**	**92.73**	**134.70**	**228.62**	**511.00**	**586.37**	**588.63**	**404.48**	**345.74**	**463.32**	**688.35**
COGS	24,108	28,215	24,482	37,178	39,323	46,501	53,360	55,331	65,122	78,828	85,715	91,551
Total COGS % of Sales	**75.00%**	**76.88%**	**78.63%**	**78.16%**	**77.76%**	**76.95%**	**75.50%**	**73.40%**	**76.03%**	**77.70%**	**77.98%**	**78.21%**
Inventory Days COGS	1.85	2.04	3.94	2.71	1.60	0.71	0.62	0.62	0.90	1.06	0.79	0.53
Inventory Days (Sales)	1.39	1.57	3.09	2.12	1.24	0.55	0.47	0.46	0.69	0.82	0.61	0.41

Over the past decade, the company's revenue has moved through cycles of expansion and contraction. After a dip in FY16, **sales grew strongly in FY17–FY19** on the back of higher demand and operational improvements. **Growth slowed in FY20–FY21** due to external challenges but rebounded in FY22–FY23 with steady double-digit gains driven by better product positioning and improving consumer sentiment. FY24 saw a mild moderation, but overall performance remained stable.

Inventory trends mirrored these shifts. **Inventory rose sharply during the early expansion phase**, and the **slowdown in FY18–FY21** left the company with elevated stock and weaker turnover. Levels peaked again in FY22 during the demand recovery, pressuring working capital. Since then, tighter inventory management in FY23–FY24 has improved turnover and lowered holding days.

Despite this progress, **inventory efficiency is still below pre-FY18 levels**. Strengthening supply chain discipline, demand forecasting, and lean inventory practices will be key to sustaining operational efficiency and supporting consistent future growth.

PEER ANALYSIS-INVENTORY DAYS							
HCL	1.85	2.04	3.94	2.71	1.60	0.71	0.62
Wipro	9.1	8.8	9.1	9.4	9.8	11.8	10.1
TCS	2.57	0.96	0.75	7.23	7.22	2.76	0.66





Compared to peers, HCL's inventory efficiency has been weaker. While Infosys and TCS kept inventory days **below 8** and Wipro stayed around 9–11, HCL's levels were noticeably higher, peaking **above 13 days in FY21–FY22** before recent improvement. This reflects a slower turnover cycle relative to the industry.

The longer holding period aligns with HCL's business model, which involves extended project timelines and complex service delivery rather than operational inefficiency. Continued gains can come from **stronger project planning and tighter supply chain coordination to narrow the gap with peers.**

HCL Technologies Ltd.

TRADE PAYABLES

	Jun-14	Jun-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	32,144	36,701	31,136	47,568	50,569	60,427	70,676	75,379	85,651	101,456	109,913	117,055
Growth in revenue		**14%**	**-15%**	**53%**	**6%**	**19%**	**17%**	**7%**	**14%**	**18%**	**8%**	**6%**
Trade Payables	468	625	703	801	918	1,305	1,166	5,457	6,278	6,428	5,853	6,225
Growth in trade payables		**34%**	**12%**	**14%**	**15%**	**42%**	**-11%**	**368%**	**15%**	**2%**	**-9%**	**6%**
Average Trade Payable		546.5	664	752	859.5	1111.5	1235.5	3311.5	5867.5	6353	6140.5	6039
Trade Payable % of Revenue	**146%**	**170%**	**226%**	**168%**	**182%**	**216%**	**165%**	**724%**	**733%**	**634%**	**533%**	**532%**
Average Trade Payable days		7.06	9.90	7.38	7.98	8.72	8.45	21.84	32.89	29.42	26.15	24.08
COGS	24108	28251	24482	37178	39323	46501	53360	55331	65122	78828	85715	91551
Growth in COGs		**17.19%**	**-13.34%**	**51.86%**	**5.77%**	**18.25%**	**14.75%**	**3.69%**	**17.70%**	**21.05%**	**8.74%**	**6.81%**
Trade Payable % of COGS		**2.21%**	**2.87%**	**2.15%**	**2.33%**	**2.81%**	**2.19%**	**9.86%**	**9.64%**	**8.15%**	**6.83%**	**6.80%**
Trade Payable days		7	10	7	8	9	8	22	33	29	26	24
Trade Payable Turnover Ratio		**52**	**37**	**49**	**46**	**42**	**43**	**17**	**11**	**12**	**14**	**15**

Trade payables have grown meaningfully over the years, increasing at a faster pace than both revenue and COGS during multiple periods,especially around FY21–FY23,indicating stronger reliance on supplier credit to fund operations. This shift is reflected in the rise in average trade payables and the corresponding spike in payable days, which reached unusually high levels during these years.

Such a pattern suggests extended payment cycles and enhanced liquidity support from vendors. Although payable days begin to normalize in the later years, they remain well above historical levels, implying that the business continues to benefit from improved credit terms. The consistently higher trade payables as a percentage of COGS further confirm that a larger share of operating expenses is being financed through payables, strengthening short-term cash flow while signaling increased dependence on supplier financing.

CASH CONVERSION CYCLE

	Mar-19	20-Mar	21-Mar	22-Mar	23-Mar	24-Mar	25-Mar
TCS	68	71	67	80	81	81	84
Infosys	68	71	67	80	81	81	84
HCL Tech	**71**	**73**	**85**	**88**	**92**	**85**	**81**

The table shows the daily movement of TCS, Infosys, and HCL Tech over the week of March 19–25, revealing both consistency and variation in performance. TCS and Infosys track identically across all days, indicating similar market sentiment or exposure to common sector-level drivers. Both companies show a gradual rise from 68 on March 19 to 84 by March 25, reflecting stable and steady improvement.

In contrast, HCL Tech displays a much stronger growth trajectory, jumping from 71 to a peak of 92 mid-week before settling at 81. This sharper volatility suggests higher momentum and investor activity around HCL Tech during this period. Overall, the data emphasizes that while all three companies show upward weekly progress, HCL Tech notably outperforms its peers in both peak values and rate of increase.

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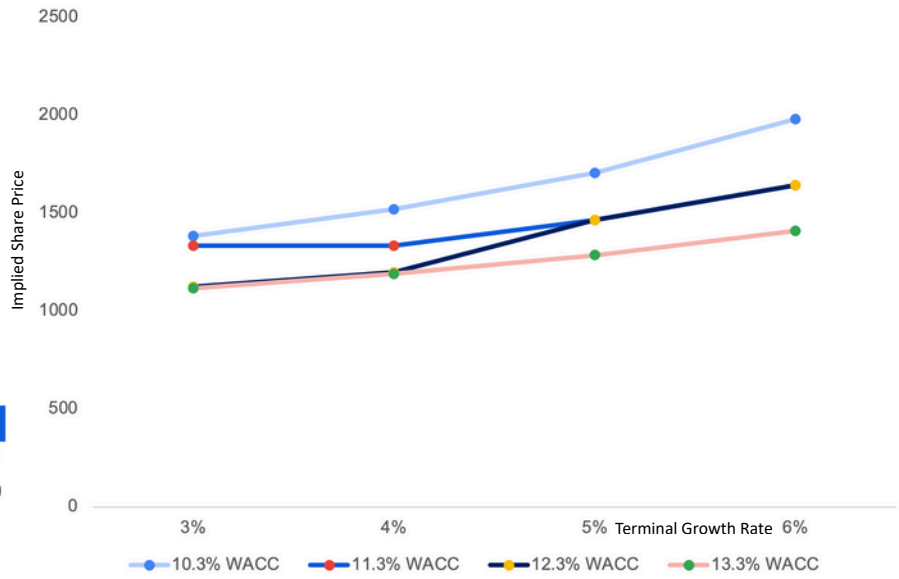
DISCOUNTED CASH FLOW

Calculation of PV of FCFF	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
EBIT	1,17,055	1,22,908	1,32,126	1,43,357	1,53,391	1,63,362
Tax Rate	25.00%	25.00%	25.00%	25.00%	25.00%	25.00%
EBIT(1-T)	19,577	20,280	21,801	23,654	25,310	26,955
Less:Reinvestment Rate	4,097	4,302	4,624	5,017	5,369	5,718
Free Cash Flow	19,929	20,707	22,289	24,196	25,870	27,537
Mid Year Convention	0.5	0.5	0.5	0.5	0.5	0.5
Discounting Factor	1	0.898311175	0.806962967	0.724903851	0.65118923	0.584970563

PV of FCFF

Terminal Growth	4.00%
WACC	11.32%

Calculation of Terminal Value	
FCFF(n+1)	28,638
WACC	11.32%
Terminal Growth Rate	4.00%
Terminal Value	3,91,233



Calculation of Equity Per Share	
PV of FCFF	87,081
PV of Terminal Value	2,28,860
Add: Cash	23,748
Less: Debt	6,780
Value of Equity	3,32,909
No of Shares	271
Equity Value Per Share	**1335**
Share Price	1600
Discount/Premium	1.30x

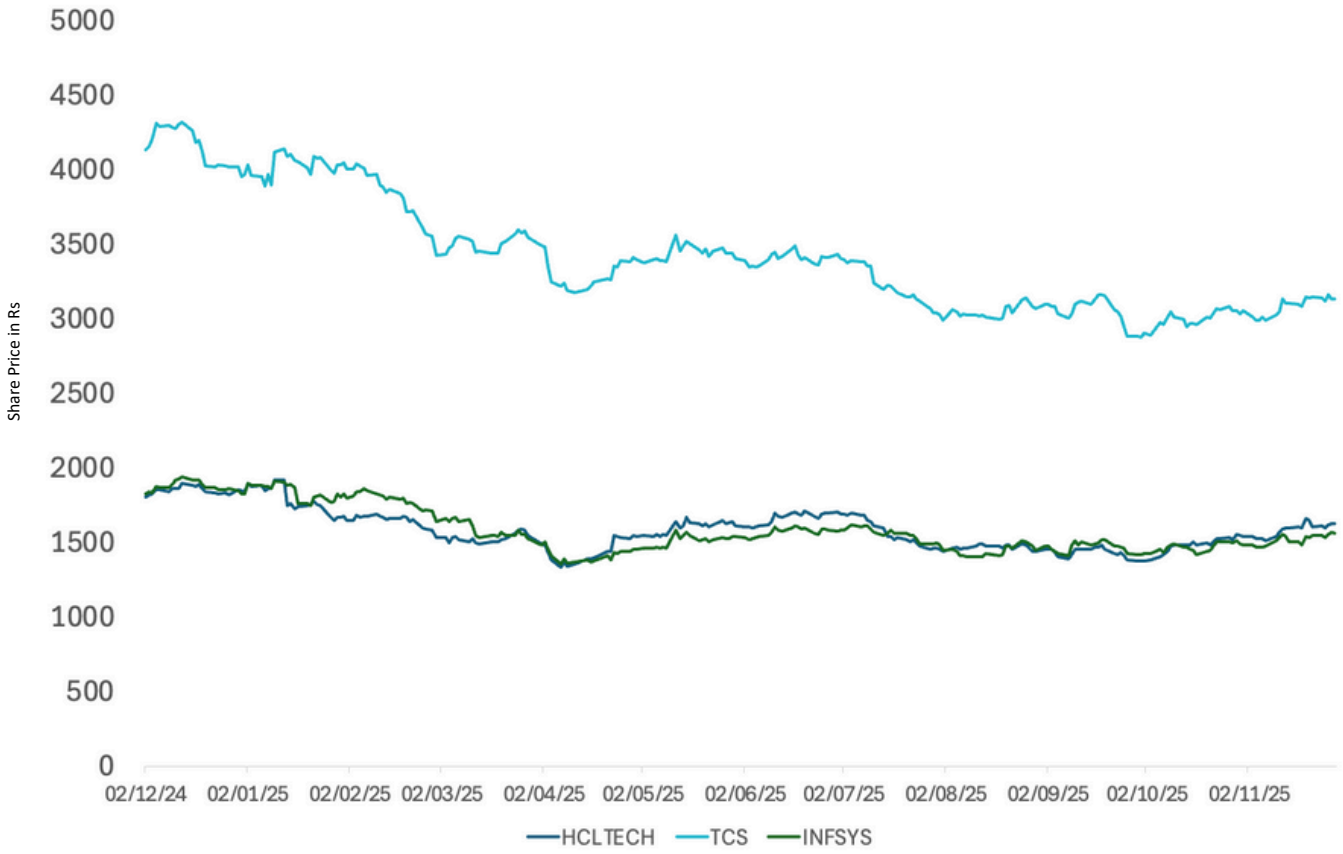
Sensitivity Analysis	3%	4%	5%	6%
10.30%	1383	1519	1706	1980
11.30%	1335	1335	1464	1643
12.30%	1123	1199	1464	1643
13.30%	1115	1191	1285	1410

Discounted Cash Flow (DCF) Summary

This DCF analysis utilizes a 6-year explicit forecast to determine the intrinsic value of the company's equity. The model's central assumptions are a **Discount Rate (WACC) of 11.32%** and a Terminal Growth Rate of 4.00%. Based on these inputs, the model calculates an **Implied Equity Value Per Share of ₹1,335**. The Sensitivity Analysis highlights the strong dependence of the valuation on the WACC: a decrease in the WACC to 10.30% pushes the valuation up to **₹1,643 (at 6% growth),** while an increase to 13.30% pulls the valuation down to **₹1,123 (at 3% growth)**. In conclusion, ₹1,335 per share represents the estimated intrinsic value of the company under the stated base-case assumptions. Although multiple valuation methodologies were considered, including peer comparison, the DCF method was prioritized as it best isolates the company's fundamental value drivers independent of short-term market sentiment. Therefore, the final intrinsic value is derived exclusively from the DCF base-case scenario.

HCL Technologies Ltd.

PEER STOCK PERFORMANCE



Stock Performance Commentary (Dec 2024 - Nov 2025)

Tata Consultancy Services (TCS) - The Outlier

Trend: TCS (the orange line) exhibits a distinctly higher valuation compared to its two peers throughout the entire period, with its stock price consistently trading between approximately 3,000 and 4,400.

Performance: The stock started strong, peaking around 4,300-4,400 in late December 2024/early January 2025.

- **Downtrend**: TCS experienced a significant downtrend from January to roughly July 2025, falling from its peak down to a **low point near 3,000.**
- **Stabilization and Recovery**: From July 2025 onwards, the stock stabilized, trading within the 3,000 to 3,200 range and showing a modest recovery towards the end of the period, concluding around 3,100-3,200.

HCLTech and Infosys - The Closely Aligned Peers

- **Valuation Range**: HCLTech (blue line) and Infosys (green line) trade in a much lower and narrower band compared to TCS, consistently staying between approximately 1,400 and 2,000.
- **High Correlation**: These two stocks show an extremely high positive correlation, moving almost in lockstep for the entire eleven-month period, suggesting they are influenced by similar market forces, sector-specific news, or investor sentiment. Initial Trend: Both stocks started strong, around 1,800-1,900, and briefly saw an upward spike in late December 2024 before beginning a moderate decline.
- **Mid-Year Dip**: They both experienced a noticeable dip around April 2025, falling to a low near 1,400-1,500.
- **Recovery**: From this low point, they staged a significant recovery and consolidation, returning to the 1,500-1,700 range and finishing the period with a slight upward trajectory, almost back to their starting levels.